

26VECP00168 26VECP00168

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-09-03

Motion: NOTICE OF CLAIM OF CLAIMANT NEWCASTLE MANOR HOMEOWNERS ASSOCIATION FOR SURPLUS FUNDS

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Case Number: 26VECP00168 Hearing Date: September 3, 2026 Dept: U

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST
DISTRICT

In re:

ALL CLAIMANTS TO SURPLUS FUNDS AFTER TRUSTEE'S SALE OF
REAL PROPERTY LOCATED AT:

5400 Newcastle Ave., Apt. 12, Encino, CA 91316

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CASE NO: 26VECP00168

[TENTATIVE] ORDER RE: NOTICE OF CLAIM OF
CLAIMANT NEWCASTLE MANOR HOMEOWNERS ASSOCIATION FOR SURPLUS FUNDS

Dept. U

8:30 a.m.

September 4, 2026

A. BACKGROUND

On April 1, 2026, Petitioner Quality Loan Service Corp. ("Petitioner") filed a Petition and Declaration Regarding Unresolved Claims and Deposit of Undistributed Surplus Proceeds of Trustee's Sale ("Petition"). The Petition involves a trustee's sale of the real property located at 5400 Newcastle Ave., Apt. 12, Encino, CA 91316 ("Subject Property").

After satisfaction of the deed of trust, surplus proceeds remained in the amount of \$101,911.20. (Petition, ¶ 16.)

On May 14, 2026, Claimant Newcastle Manor Homeowners Association ("Claimant") filed the instant motion regarding claim for surplus funds.

On May 22, 2026, a Notice of Entry of Order to Deposit was filed.

B. RULING

Claimant's motion is granted.

C. LEGAL STANDARD

If there is a surplus after payment of a secured obligation, a trustee who does not file an interpleader must serve by mail a prescribed notice of such surplus on all persons entitled to notices of default under Civil Code section 2924b, subdivisions (b) & (c). If a conflict exists that the trustee cannot resolve with due diligence, the trustee may, on additional notice, file with the court a declaration of the unresolved claims and deposit into court the amount remaining in dispute. (Civ. Code, §§ 2924j, subs. (b), (c).) A summary procedure is provided for the court's resolution of the claims, which must be heard within 90 days of the deposit. (Civ. Code, §§ 2924j, subs. (c), (d).)

Further, "If, after due diligence, the trustee is unable to determine the priority of the written claims received by the trustee to the trustee's sale surplus of multiple persons or if the trustee determines there is a conflict between potential claimants, the trustee may file a declaration of the unresolved claims and deposit with the clerk of the superior court of the county in which the sale occurred, that portion of the sales proceeds that cannot be distributed, less any fees charged by the clerk pursuant to this subdivision. The declaration shall specify the date of the trustee's sale, a description of the property, the names and addresses of all persons sent notice pursuant to subdivision (a), a statement that the trustee exercised due diligence pursuant to subdivision (b), that the trustee provided written notice as required by subdivisions (a) and (d) and the amount of the sales proceeds deposited by the trustee with the court. Further, the trustee shall submit a copy of the trustee's sales guarantee and any information relevant to the identity, location, and priority of the potential claimants with the court and shall file proof of service of the notice required by subdivision (d) on all persons described in subdivision (a)." (Civ. Code, § 2924j, subd. (c).)

D. DISCUSSION

Claimant claims

\$14,297.26 and \$57,429.52 for a total of \$71,726.78 in surplus funds to this

action, on the grounds that Claimant is a valid, secured judgment lienholder. (Mot., pp. 1-2.) Claimant contends the funds have not been

deposited with the Court, contrary to the April 29, 2026, Court Order. (Mot.,

p. 2; see also 4/29/26 Minute Order.) Claimant made its claim to Quality Loan

Service Corp. on December 22, 2025, for the recorded instrument No. 20230047414,

and on December 25, 2025, for the recorded instrument No. 20220742127 (Mot., p.

2.)

Petitioner lists a

total of six recorded liens against the Property. (Mot., p. 4.)

In order of recordation date, the liens are: (1) A Deed of Trust of Los

Angeles Housing Department; (2) A Deed of Trust of Home Ownership Made Easy;

(3) A Lien by Better Construction & Design; (4) A Lien by the Association

under Instrument No. 20211013859; (5) An Abstract of Judgment by the Association

under Instrument No. 20220742127; and (6) A Lien by the Association under

Instrument No. 20230047414. (Mot., p. 4.)

Claimant argues

the Deed of Trust of Los Angeles Housing Department has been paid from surplus

funds. (Mot., p. 4; see also Petition , ¶14.) Claimant argues no claim regarding the Deed of

Trust of Home Ownership Made Easy has been filed; therefore, Home Ownership

Made Easy has lost its right to claim any funds hereto. (Mot., p. 4.) Claimant

further argues Better Construction & Design submitted a claim for a

Mechanic's Lien, but it is unclear whether the lien is still valid. (Mot., p.

5.)

As a preliminary

matter, the Court notes notice of entry of the Court's April 29, 2026 order was

served and filed on May 22, 2026.

Therefore, Claimant's premature-filing concern is resolved.

The Court finds

Claimant is the sole claimant before the Court and stands next in

priority. No competing lienholder has

filed a claim with the Court. While Home

Ownership Made Easy is senior to Claimant, they have filed no claim despite two

notices. (Mot., p. 5; see also Petition, Attachment 11B.) Additionally, Better Construction & Design

did not file a claim within the statutory window. Both Home Ownership Made Easy and Better Construction & Design were served with the deposit order and the instant motion and thus had notice and an opportunity to appear.

Further, Better

Construction & Design's interest fails for the independent reason that its Mechanic's Lien has expired. Better Construction

& Design recorded its lien on April 28, 2004. On this record, it is unclear that any action commenced within the 90-day deadline of the recordation. Therefore, where no action commenced, the lien would be null and void.

The Court notes

Claimant's own lien under Instrument No. 20211013859 is senior to the two claimed liens, but Claimant does not claim this lien. This does not defeat the motion, but the award is limited to the \$71,726.78 claimed.

As the sole

claimant standing next in priority after the senior interests are passed over, Claimant is entitled to its claimed \$71,726.78. The remaining \$30,184.42 is payable to the trustor, Ms. Alyce Spahn, under Civil Code section 2924k, subdivision (a)(4).

E. CONCLUSION

Claimant Newcastle Manor Homeowners Association's motion regarding claim for surplus funds is GRANTED.

Claimant is ORDERED to give notice.

DATED: September 4, 2026

Lee S. Arian

Judge of the
Superior Court